

Since more income wasn't an option for them, they had to spend less.

In reality, less spending is the answer for the vast majority of debt problems. Most of us would be able to spend almost unlimited amounts of money, given the chance; so, more money coming in usually means more money going out.

Ben and Naomi Wister's "As Is" budget compared to a Recommended Spending Plan for a family with a gross monthly income of \$5,500

THE WISTERS' "AS IS" BUDGET		RECOMMENDED SPENDING	
Taxes (taken out)	\$1,595	Taxes	\$1,595
Tithe	\$0	Tithe	\$550
Housing	\$1,900	Housing	\$1,345
Auto	\$625	Auto	\$300
Food	\$400	Food	\$400
Clothing	\$0	Clothing	\$75
Medical	\$0	Medical	\$100
Insurance	\$100	Insurance	\$100
Entertainment/Recreation	\$0	Entertainment/Recreation	\$85
Debt	\$300	Debt	\$0
Miscellaneous	\$150	Miscellaneous	\$150
Savings	\$0	Savings	\$200
School/Childcare	\$600	School/Childcare	\$600
Total	\$5,670	Total	\$5,500

A glance at the Wisters' "As Is" budget tells much of the story. Their budget could have handled the spending of up to 40 percent of their net pay for housing (about \$1,350 per month including utilities), but they had committed themselves to payments that were 56 percent of their net income (income remaining after deducting